

China: Energy-led PPI increased further in May, while core CPI softened

Bottom line:

China's headline CPI inflation was flat at +1.2% yoy in May, as higher energy prices were broadly offset by lower food prices. Core CPI inflation edged down to +1.1% yoy, likely due to softer tourism-related services prices. Headline PPI inflation increased further to +3.9% yoy in May from +2.8% yoy in April, mainly due to higher chemical, energy, and coal prices. Overall, upstream sectors accounted for around 82% of the rebound in year-over-year headline PPI inflation.

Key numbers:

CPI: +1.2% yoy (+1.0% mom annualized*) in May vs. GS: +1.4% yoy, Bloomberg consensus: +1.3% yoy; April: +1.2% yoy (+2.4% mom annualized*).

- Food: -1.7% yoy in May (-0.9% mom annualized*) vs. -1.6% yoy in April.
- Non-food: +1.9% yoy in May (+1.8% mom annualized*) vs. +1.8% yoy in April.
- Core: +1.1% yoy in May (-0.1% mom annualized*) vs. +1.2% yoy in April.

PPI: +3.9% yoy in May (+9.7% mom annualized*) vs. GS: +4.0% yoy, Bloomberg consensus: +3.9% yoy; April: +2.8% yoy (+22.4% mom annualized*).

(*seasonally adjusted by GS)

Main points:

1. China's headline CPI was flat at +1.2% yoy in May, as higher energy prices were broadly offset by lower food prices ([Exhibit 1](#)). In month-on-month terms, headline CPI slowed to +1.0% (annualized, seasonally adjusted) in May (vs. +2.4% mom s.a. ann in April).
2. In year-over-year terms, food inflation edged down to -1.7% yoy in May from -1.6% yoy in April ([Exhibit 2](#)). Among major food items, pork prices fell by 16.1% yoy in May (vs. -15.2% yoy in April). Fresh vegetable prices rose by 1.6% yoy in May (vs. -0.5% yoy in April), and fresh fruit prices fell by 2.2% yoy in May (vs. -1.0% yoy in April).
3. Non-food CPI inflation edged up to +1.9% yoy in May from +1.8% yoy in April, mainly on higher energy prices ([Exhibit 3](#)). Specifically, fuel costs rose by +21.1% yoy in May (vs. +17.4% yoy in April), accounting for all of the increase in non-food CPI inflation from April to May. After excluding food and energy prices, core CPI inflation edged down to +1.1% yoy in May (vs. +1.2% yoy in April), likely reflecting softer tourism-related services prices, with transportation services inflation easing to 4.7%

Xinquan Chen
+852-2978-2418 |
xinquan.chen@gs.com
Goldman Sachs (Asia) L.L.C.

yoy in May (vs. +5.1% yoy in April).

4. Year-over-year PPI inflation rose to +3.9% yoy in May from +2.8% yoy in April, largely reflecting higher chemical, oil & gas, and coal prices ([Exhibit 4](#)). Overall, upstream sectors accounted for around 82% of the rebound in headline PPI inflation, with chemicals, oil & gas, and coal contributing 0.3pp, 0.2pp, and 0.2pp, respectively, to the 1.1pp increase in headline PPI inflation. In month-over-month terms, PPI inflation fell to 9.7% (annualized, seasonally adjusted) in May (vs. 22.4% in April). PPI inflation in producer goods rose to +5.2% yoy in May from +3.8% yoy in April, and PPI inflation in consumer goods edged up to -0.8% yoy in May (vs. -1.0% yoy in April).

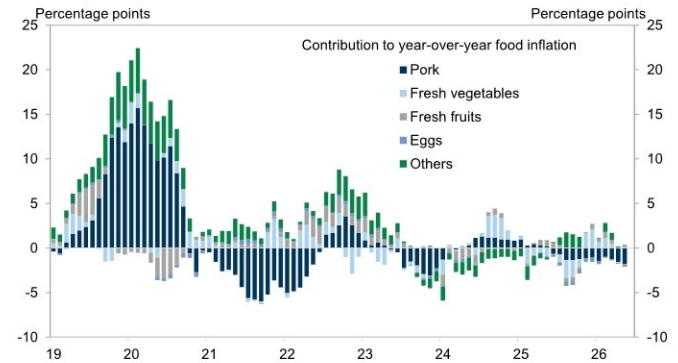
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Exhibit 1: Year-over-year PPI inflation increased further from April to May



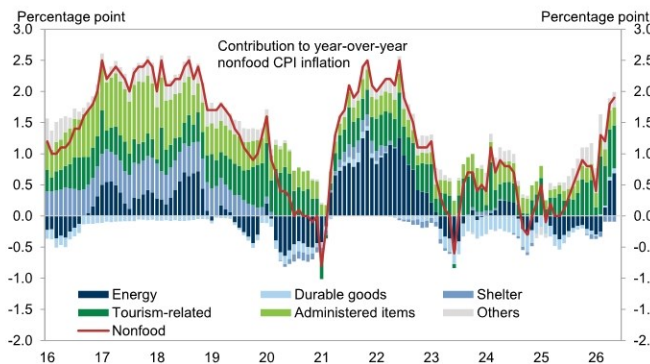
Source: NBS

Exhibit 2: Food CPI inflation fell in May on a broad-based decline in food prices



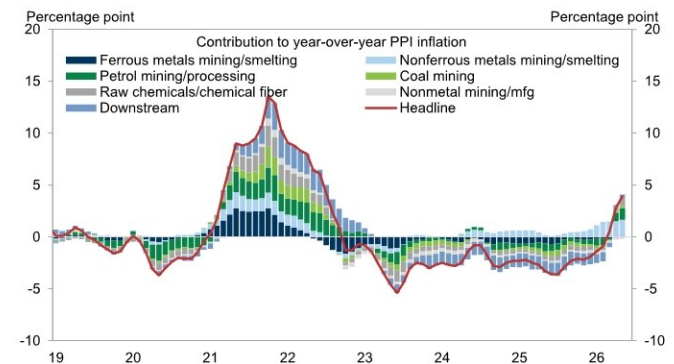
Source: NBS, Goldman Sachs Global Investment Research

Exhibit 3: Non-food CPI inflation edged up on higher energy prices



Source: CEIC, Goldman Sachs Global Investment Research

Exhibit 4: PPI inflation increased further from April to May, mainly due to higher energy and related chemical prices



Source: NBS, Goldman Sachs Global Investment Research

The China Economics Team

Andrew Tilton

+852-2978-1802
andrew.tilton@gs.com
Goldman Sachs (Asia) L.L.C.

Hui Shan

+852-2978-6634
hui.shan@gs.com
Goldman Sachs (Asia) L.L.C.

Lisheng Wang

+852-3966-4004
lisheng.wang@gs.com
Goldman Sachs (Asia) L.L.C.

Xinquan Chen
+852-2978-2418
xinquan.chen@gs.com
Goldman Sachs (Asia) L.L.C.

Yuting Yang
+852-2978-7283
yuting.yyang@gs.com
Goldman Sachs (Asia) L.L.C.

Chelsea Song
+852-2978-0106
chelsea.song@gs.com
Goldman Sachs (Asia) L.L.C.

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Contributing Authors: Xinquan Chen Goldman Sachs (Asia) L.L.C..

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